

Hertz Global Holdings, Inc.: what the company says about each flag

Revised basis. Sources: FY2012 and FY2013 annual reports and fourth-quarter results releases. Readings are judgments, not findings.

Depreciation rate on rental equipment: 15.2% to 14.3% (FY2012 to FY2013, company-wide, revised basis)

- **The company says:** U.S. "monthly per vehicle depreciation costs decreased" on "optimization of fleet holding periods related to the integration of Dollar Thrifty" (FY2013 annual report, p. 42), and U.S. rate changes gave "net decreases of \$44.2 million, \$139.4 million and \$26.7 million" for 2013, 2012 and 2011 (p. 126). Last year: different. The cuts were then "indicative of the strong residual values experienced in the U.S." (FY2012 annual report, p. 113); this year "strong" is gone and the same report cites "a deterioration in the used vehicle residual values" (p. 54).
- **Test:** The first claim covers U.S. car rental, FY2013 against FY2012, per vehicle per month; the measure is not defined, so it can't be tested as stated.
 - The nearest number is the U.S. segment charge per average company-operated car: \$226 a month against \$219 (up 3.1%). Before disposal results it is \$217 against \$242 (down 10.4%).
 - Company-wide, the charge not taken at the FY2012 rate is \$152m. The stated net rate cut of \$39.6m (p. 40) is 26% of that, 1.6% of the \$2,407.8m charge and 6.0% of pre-tax income.
 - The disposal result swung from a \$96.8m gain to a \$37.2m loss (p. 126), a \$134.0m swing equal to 88% of the \$152m. With it included, the rate is 14.5% in both years.
 - The explanation partly holds: the rate fell only before disposal losses.
- **Reading:** Possibly the reporting stretched, on top of a weakening used-car market: U.S. rates were cut by \$44.2m in a year when U.S. car disposals lost \$48.2m and the company itself reports "declining residual values from falling demand for used vehicles" (p. 126). It would point to ordinary if the cut applied to Dollar Thrifty cars moved to longer holding periods and the losses came from other cars, which the company attributes partly to "timing of sales" (p. 126).
- **Read next:** Note 8 (p. 126) beside the fleet paragraphs on p. 42. A split of the \$44.2m by quarter or brand is not in these documents.

Payables: down 3.5% while costs rose 19.4%; days payable 52.9 to 42.7 (company-wide, revised; 52.7 as first reported)

- **The company says:** nothing about the balance. The nearest sentence is that operating cash flow rose "due to the timing of our payments" (FY2013 annual report, p. 64). Last year: the same words (FY2012 annual report, p. 60).
- **Test:** That sentence is about the \$879.9m rise in company operating cash flow, FY2013 against FY2012.
 - The payables, accrued liabilities and accrued taxes lines added \$72.9m in 2013 against \$33.2m in 2012. The \$39.7m difference is 4.5% of the rise.
 - Payables plus accrued liabilities fell \$93.7m (4.3%), so nothing moved between the two lines.
 - The acquisition point from the first scan also falls short. Dollar Thrifty brought \$43m of payables (p. 98), which is 4.3% of the end-2012 balance and 18% of the \$233m gap (35% of pre-tax income; \$226m and 34% as first reported). Without it, FY2012 days are still 50.7.
 - The explanation does not hold; the fall is unexplained.
- **Reading:** Can't tell from these documents; suppliers were most likely paid faster, in a year when the company "implemented Oracle general ledger, accounts payable" modules (p. 159). A trade-versus-fleet split showing the fall sits in fleet payables would point to ordinary timing of purchases, since Q4 fleet purchases fell from \$1,928.3m to \$978.6m (p. 65).
- **Read next:** the supplemental cash flow lines (p. 81) and the internal control section (p. 159). There is no payables note.

Receivables: down 19.5% while revenue rose 19.4%; days sales outstanding 76.2 to 51.3 (company-wide, revised; 76.5 as first reported)

- **The company says:** "a decrease in fleet receivables within our U.S. car rental segment, primarily related to the timing of purchases and sales of revenue earning equipment" (FY2013 annual report, p. 133). Last year: nothing on the rise.
- **Test:** The claim is about year-end fleet receivables.
 - Vehicle-sale proceeds in receivables fell from \$618.6m to \$357.3m (p. 81). The \$261.3m fall is 71% of the \$367.1m decline and 13.9% of the opening balance.

- Q4 disposal proceeds fell 30% (p. 65), which fits "timing".
- The other \$105.8m is not explained: non-fleet receivables fell 8.4%, from 51.1 days of revenue to 39.1 (43.8 in FY2011).
- Part of that reflects end-2012 carrying \$170m of Dollar Thrifty receivables (p. 98; 9.0% of the balance) against about 43 days of its revenue.
- The explanation partly holds. The gap at FY2012 days is \$737m, 111% of pre-tax income (\$746m and 113% as first reported).
- **Reading:** Most likely ordinary: the fall follows vehicle-sale timing and unwinds an acquisition-inflated 2012. Receivables sold or financed would point elsewhere; no mention of either was found.
- **Read next:** Schedule II (p. 158), where write-offs rose from \$29.3m to \$40.3m and the allowance from 1.5% to 2.0% of gross receivables. A receivables breakdown is not in these documents.

The other flags

- **Payables at 9.0% of sales against 4.5% for the industry:** no company comment. Fleet and property purchases of \$344.7m sit in "accounts payable and accrued liabilities" (p. 81); taking all of it out of payables leaves 5.8%, but the split is not given. Most likely ordinary: the industry group is a poor match.
- **Q4 gross margin, 22.1% to 18.5%:** "an estimated \$0.12 impact of lower than expected pricing and higher expenses related to carrying extra fleet" (FY2013 results release, p. 2). That is measured against expectations, not Q4 2012, so it can't be tested as stated. It equals \$85.7m pre-tax at the release's 35% rate, beside the \$90.2m margin fall. U.S. fleet rose 22.4% against transaction days up 16.1% (p. 3), and U.S. depreciation and lease charges rose from 19.0% to 22.6% of U.S. revenue (\$52.7m, 58% of the fall). Most likely the business weakening.

Adjusted earnings

Adjusted pre-tax income exceeded reported by \$356.2m in 2011 (110% of reported), \$450.9m in 2012 (102%) and \$490.1m in 2013 (74%); the 2011 figures are from the FY2012 release, the rest from the FY2013 release.

"Other unusual/non-recurring" appears in both years (\$44.0m, then \$50.7m), each including a "litigation accrual" (\$14.0m, then \$5.7m). Restructuring and related charges recur every year: \$66.2m, \$49.1m, \$98.8m.

Changes in estimate that lifted income

Depreciation rate changes cut the charge by a net \$130.1m in 2012 (29% of revised pre-tax income) and \$39.6m in 2013 (6.0%) (FY2013 annual report, p. 40). The 2012 cut sat beside \$96.8m of disposal gains, which support it; the 2013 cut sat beside a \$37.2m disposal loss, which does not. No other income-raising change in estimate is disclosed.